STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

CASE 23-G-0225

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY FOR GAS SERVICE

CASE 23-G-0226

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID FOR GAS SERVICE

CASE 23-G-0200

PETITION OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY FOR A NEW YORK STATE SALES TAX REFUND UNDER 16 NYCRR SECTION 89.3 AND REQUEST FOR AN EXTENSION

POST-EVIDENTIARY HEARING REPLY BRIEF OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID

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STATE OF NEW YORK
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Case 23-G-0225 – Proceeding On Motion Of The Commission As To The Rates, Charges, Rules And Regulations Of The Brooklyn Union Gas Company d/b/a National Grid NY For Gas Service

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POST-EVIDENTIARY HEARING REPLY BRIEF OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID

In accordance with the procedural schedule established by the Presiding Administrative Law Judges at the May 20, 2024 evidentiary hearing in the above captioned proceeding, The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (KEDNY and KEDLI are collectively referred to as the "Companies"), hereby submit this reply brief.[1] WE ACT alone submitted an initial brief that opposes certain provisions of the Joint Proposal. As more fully discussed below, as well as in the Companies' Statement In Support of the Joint Proposal and Reply Statement In Support of the Joint Proposal, WE ACT has provided no reasonable basis for the Commission to reject or modify any provision of the Joint Proposal.

[1] The Companies have received initial briefs ("IB") from WE ACT For Environmental Justice ("WE ACT") and the Staff of the Department of Public Service ("Staff").

I. WE ACT's Argument In Opposition To Section IV.7.8. Of The Joint Proposal Relies On Baseless Assumptions And Mischaracterizations Of Both Law And Fact

In recommending that the Commission reject Section IV.7.8. of the Joint Proposal, WE ACT seeks to derail the development of biomethane in the Companies' service territories; a result that is inconsistent with applicable New York State policy and Commission precedent. As the Commission found in its 2023 Con Edison Rate Order,[2] the New York Climate Action Counsel's Final Scoping Plan recognizes that renewable natural gas ("RNG") (biomethane) may be considered to decarbonize the gas system as it transitions.[3] Based on this finding, the Commission further found that an RNG project proposed by Con Edison would allow it to investigate the use of RNG in its system as a means of reducing Greenhouse Gas ("GHG") emissions in the State, and therefore the project was beneficial.[4]

For the same reasons that the Commission approved Con Edison's RNG proposal, the Commission should also adopt Section IV.7.8. of the Joint Proposal, which is carefully crafted so that the Companies will only be permitted to defer for future recovery the costs of interconnecting their distribution systems with biomethane facilities to the extent that those facilities are commercially viable and able to obtain necessary permits from the environmental regulators that have the legal responsibility to determine whether those facilities can be operated consistent with the requirements of the Climate Leadership and Community Protection Act ("CLCPA")[5] and other applicable laws and regulations.[6]

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[2] Cases 22-E-0064 and 22-G-0065, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service*, "Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans With Additional Requirements" (July 20, 2023) ("2023 Con Edison Rate Order").
[3] *Id.* at 127.
[4] *Id.* at 129.
[5] L. 2019, Ch. 106.
[6] *See e.g.* Tr. 55, 67.

In addition, contrary to WE ACT's claims, the Commission does not need to perform a detailed analysis of the upstream operations of the potential biomethane production facilities in order to authorize the Companies to defer the costs of interconnection facilities that will do nothing more than permit the Companies to ensure that the biomethane that they may purchase or receive in the future can be injected safely into their distribution systems.[7] In this case, the Commission need only decide that authorizing the deferral of costs associated with the interconnection facilities themselves is consistent with the CLCPA and other applicable laws. WE ACT's claim that the Commission must make a full evaluation of the merits of the biomethane production facilities themselves is nothing more than an untenable request for the Commission to unreasonably delay the development of biomethane facilities through the exercise of authority that is more appropriately exercised by the environmental regulators charged with permitting the biomethane facilities.

In addition, leaving aside the fact that adoption of WE ACT's legal position would impose an unreasonable duty on the Commission to address environmental issues that other agencies are specifically charged with considering, the record of this proceeding supports a finding that the operation of the biomethane facilities that are planned by third party developers would be beneficial and consistent with the public interest. As the Companies' witness panel testified, the biomethane facilities that the Companies are planning to interconnect with will:

- reduce the carbon footprint of certain wastewater treatment plants and food scrap and paper processing plants by purifying most of the biogas as opposed to flaring it;[8] and

[7] Tr. 53.
[8] Tr. 53, 57-58, 72, 76-77, 81-85.

- enable the Companies to reduce upstream emissions by delivering pipeline quality gas that will displace quantities of fossil natural gas that would otherwise be produced and transported from upstream locations.[9]

While WE ACT bases its request for rejection of Section IV.7.8 on the fact that the Companies cannot identify with precision the incremental GHGs that will be emitted by the biomethane facilities,[10] the absence of a precise accounting should not distract the Commission from concluding that those facilities are likely to provide substantial net GHG reduction benefits for several reasons. First, as noted above, the biomethane facilities will only become operational if they obtain necessary environmental permits. Given the requirements of the CLCPA and other environmental laws and regulations, it is reasonable to assume that these permits will only be issued if the biomethane facilities create net environmental benefits. Moreover, the record demonstrates that substantial environmental benefits have been created by the biomethane facilities that are currently in service. As the Companies' witness panel testified, the operation of KEDNY's Newtown Creek Facility has created a "drastic" reduction in flaring from four large flares that previously operated at the facility to one smaller thermal oxidizer.[11] Thus, regardless of the Companies' inability to provide the "exact math" it is readily apparent that the reduction in flaring of biomethane at Newtown Creek provides benefits that far offset any adverse impacts associated with the use of incremental energy needed to power the biomethane facility.[12] Thus,

[9] Tr. 75-77. Ex. 35 at 80-81.
[10] WE ACT IB at 2-5.
[11] Tr. 84-85.
[12] For example, while counsel for WE ACT repeatedly questioned the Companies' witness panel about the potential that the pipe extensions required to interconnect biomethane facilities to the Companies' distribution system would leak, the record shows that the leak rates on the Companies' modern plastic facilities are between one and two leaks per hundred miles of pipe and that the Companies would repair any leaks that might occur. *See* Tr. 60-61, 69, 78, 82, Exhibit 722. Contrary to WE ACT's apparent claim, leakage of this magnitude hardly offsets the benefits that can be derived from turning biogas into pipeline quality gas that can be used to offset the use of additional fossil gas supplies.

the Commission does not need a precise cost/benefit analysis to be able to reasonably conclude that biomethane production facilities that are able to obtain environmental operating permits will assist New York in meeting its emissions reduction goals.

In sum, the record of this proceeding fully supports a finding that the biomethane interconnection projects proposed by the Companies in this proceeding are beneficial and will enable the Companies to obtain incremental city gate supplies while also advancing the use of biomethane as a manner of reducing GHG emissions in the State. For this reason, Section IV.7.8. of the Joint Proposal should be adopted without modification.

II. The Fact That A Staff Witness Characterized Gas As A Political Issue Provides No Basis For The Commission To Reconsider Its Policy On The Recovery Of Informational Advertising Expenses

WE ACT's claim[13] that the Commission should disallow expenses associated with the production of materials such as those that address the Companies' Clean Energy Vision because a Staff witness asserted that "sometimes gas is a political issue"[14] is without merit. The fact that some individuals may view gas as a political issue neither eliminates the Companies' need to advise their customers of how they plan to provide service in the future, nor calls into question the Commission's longstanding policy of permitting recovery of the costs of informational advertising. The Companies should be permitted to continue to recover the costs of providing informational advertising consistent with applicable Commission precedent.[15]

[13] WE ACT IB at 8.
[14] Tr. 105.
[15] *See New York Public Service Commission* "Statement of Policy on Advertising and Promotional Practice of Public Utilities" (February 25, 1977).

III. There Is No Factual Or Legal Basis For The Commission To Impose Financial Penalties On The Companies For Failing To Achieve NPA Benchmarks

At the May 20 evidentiary hearing, the Companies' witness panel explained the provisions of the Joint Proposal that are intended to enhance the prospects for the Companies to achieve success in promoting NPAs.[16] Not satisfied with these provisions, WE ACT asserts that the Commission should require the Companies "to meet certain NPA benchmarks or risk a financial penalty."[17] This proposal should be rejected. There is no record evidence that supports the establishment of NPA benchmarks, addresses the issue of why a penalty structure would be lawful or reasonable, or sets forth what that penalty structure should be.[18] More importantly, as Staff accurately observes in its post-hearing brief, NPAs cannot be completed absent customers and/or third party market buy-in and participation.[19] As the Companies cannot ultimately control whether NPAs can be implemented, it would clearly be unreasonable to penalize them for a failure to complete NPAs.[20]

[16] Tr. 98-102.
[17] WE ACT IB at 9.
[18] It is a basic principle of administrative law that the Commission's decisions must be supported by substantial evidence. *See e.g. Matter of National Fuel Gas Distribution Corp. v. Public Service Commission of the State of New York*, 169 A.D. 3d 1334, 1335 (3rd Dept. 2019) App. Dismissed, 33 NY 3d 1053 (2019).
[19] Staff IB at 5. *See also* Tr. 103.
[20] Indeed, given the fact that the Companies retain an obligation to serve all eligible customers under the Public Service Law, it would be particularly unreasonable for the Commission to adopt a structure where the Companies would violate the law if they failed to serve customers but would also be subject to penalties if they fail to convince a certain percentage of prospective customers that they should not purchase the Companies' services.

IV. Conclusion

For all the foregoing reasons as well as those set forth in the Companies' Statement in Support of the Joint Proposal and Reply Statement, the Companies respectfully request that the Commission adopt the terms of the Joint Proposal in this proceeding without modification.

Respectfully submitted,

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